

The Gann Method, Explained

What W. D. Gann actually taught — in plain English

Compiled from a direct read of all ten books W. D. Gann published in his own lifetime (1909–1954), plus seven interpretive works by later researchers. Every diagram in this document was drawn fresh for this explainer — none are reproduced from the original books.

Prepared September 2026 · for personal study

How to read this document

W. D. Gann (1878–1955) was a real commodity and stock trader who wrote ten books and ran a subscription forecasting business for over forty years. He also became, after his death, the subject of an enormous amount of speculation — mystical, numerological, and otherwise — much of it built by people who never read his actual books. This document draws a hard line between two things that are usually blurred together:

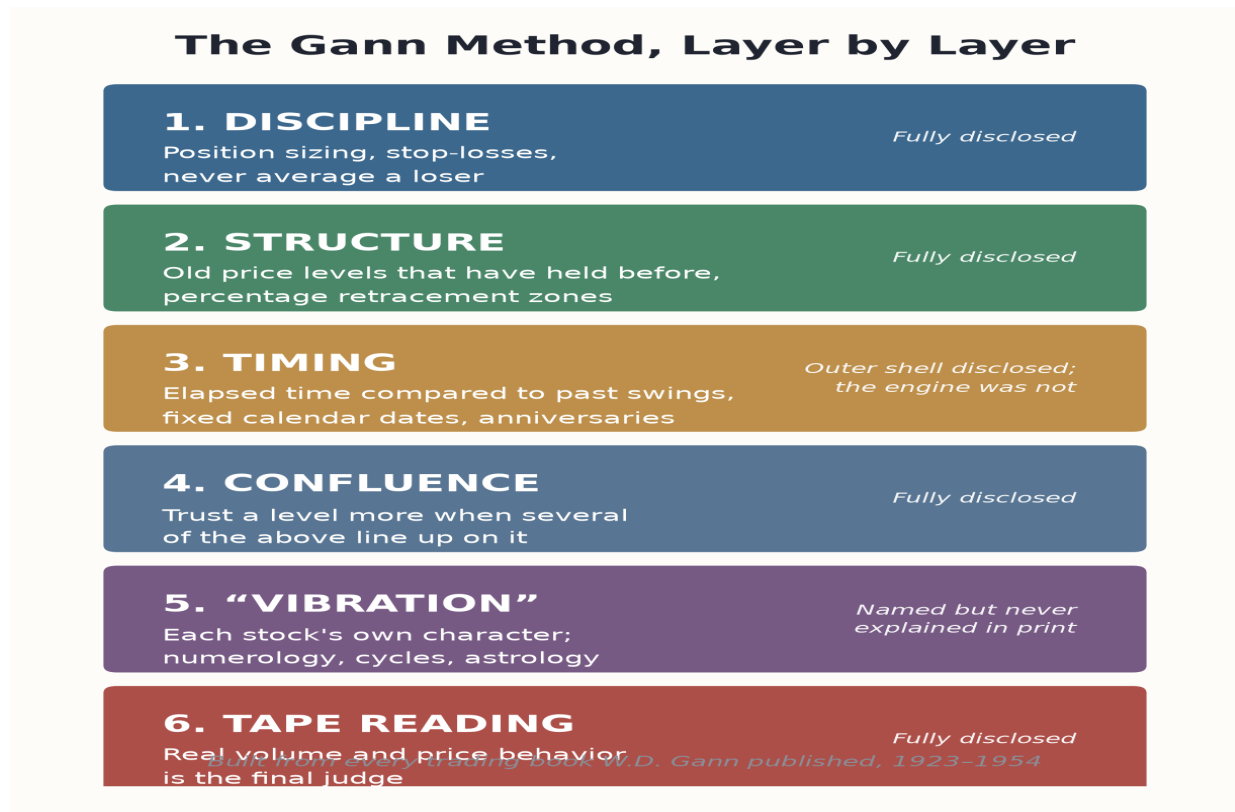
- **What Gann himself published** — rules, methods, and worked examples that appear, in his own words, across his ten books.
- **What later researchers reconstructed** — techniques (some very well-supported, some very weakly) that people have attributed to Gann based on private letters, unpublished course material, and inference — but that do not appear in anything he sold to the public.

Both are useful to know. But only the first group is something you can point to on a page and say “Gann said this.” This document is organized into six layers, from the most solid, most-repeated material to the most speculative — and each layer is labeled with how well-evidenced it actually is.

A quick note on the man himself, since it explains a lot of his voice: Gann grew up poor in Texas, worked in cotton brokerage as a teenager, and built his trading business the hard way over decades — he writes like a self-made, Bible-literate, turn-of-the-century Southern businessman, because that is exactly what he was. His books repeatedly return to two themes that have nothing to do with charts: relentless personal discipline, and a near-religious belief that markets, like everything else in nature, move by knowable law rather than chance.

The big picture

Strip away the mystique, and Gann's disclosed material describes **a discipline system first, a price-geometry system second, and a timing system whose actual engine he never once wrote down**. Here is the whole method as a single map, followed by one chapter on each of its six layers.



The six layers of Gann's method, ordered from best-evidenced (top) to most speculative (bottom).

The short version of each layer, before the detail:

Layer 1 — Discipline	Money-management rules: how much to risk, when to cut losses, when to add to a position. Fully disclosed, and the largest single share of what he actually wrote.
Layer 2 — Structure	Arithmetic rules for finding price levels where a market is likely to pause or turn, built from real past highs and lows.
Layer 3 — Timing	The idea that time matters as much as price — but the actual mechanism was kept private his whole career.
Layer 4 — Confluence	Never trust one signal alone — act only where several independent signals agree.

Layer 5 — “Vibration”

Gann's own term for why markets move the way they do. He named it and never defined it — three incompatible theories now try to fill the gap.

Layer 6 — Tape reading

Underneath all the arithmetic, real order flow and volume are the final judge of whether a level actually matters.

Layer 1 — Discipline

*Evidence level: **fully disclosed** — repeated, word-for-word-consistent, across all ten books.*

If you read only one layer of this document, read this one. It is, by sheer word count, the majority of everything Gann ever published — more than the charts, more than the geometry, more than anything else. His core rule set, restated across decades with barely a word changed:

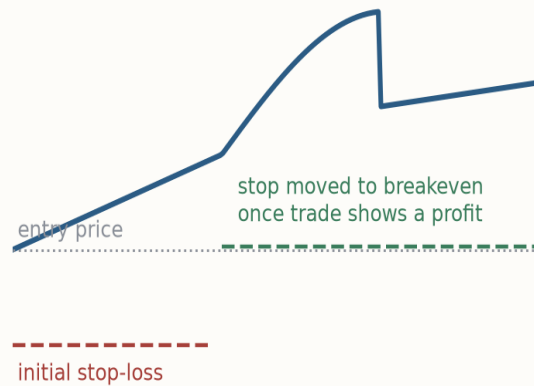
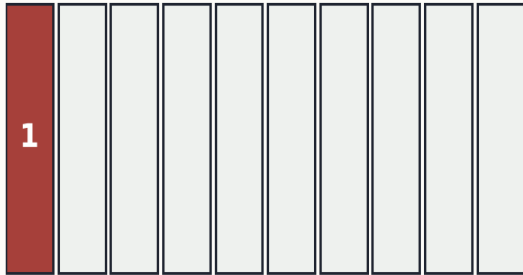
- Divide your trading capital into roughly ten equal parts, and never risk more than one part on a single trade.
- Always place a hard stop-loss order the moment you enter a trade — never trade without one.
- Never add to a losing position (“averaging down”). If you’re wrong, you’re wrong — get out and reassess.
- Once a trade is comfortably ahead, move your stop up to breakeven. A real profit should never be allowed to round-trip back into a loss.
- Only add to a position that is already winning, and only after it clears a new resistance level — never pyramid into a loser.
- Trade both directions without bias. A bear market is exactly as tradeable as a bull market — the mistake is refusing to sell short out of habit or superstition.
- Never fix a profit target in your head and then hold past a genuine trend-change signal hoping to reach it.
- After a string of losses, reduce your trade size — never increase it to “get even.”

Layer 1 — Discipline

Never let a real gain
round-trip back to a loss

Divide trading capital into 10 equal parts.

Never risk more than one part on a single trade.



→ losing five trades in a row still leaves half the capital working

The single habit Gann returns to most often: once a trade is safely ahead, the stop moves to breakeven and never allows a real gain to become a loss.

By his final book (1949) this had crystallized into a numbered list he called the “24 Never-Failing Rules” — the most-quoted version of the same substance, refined over 45 years rather than changed.

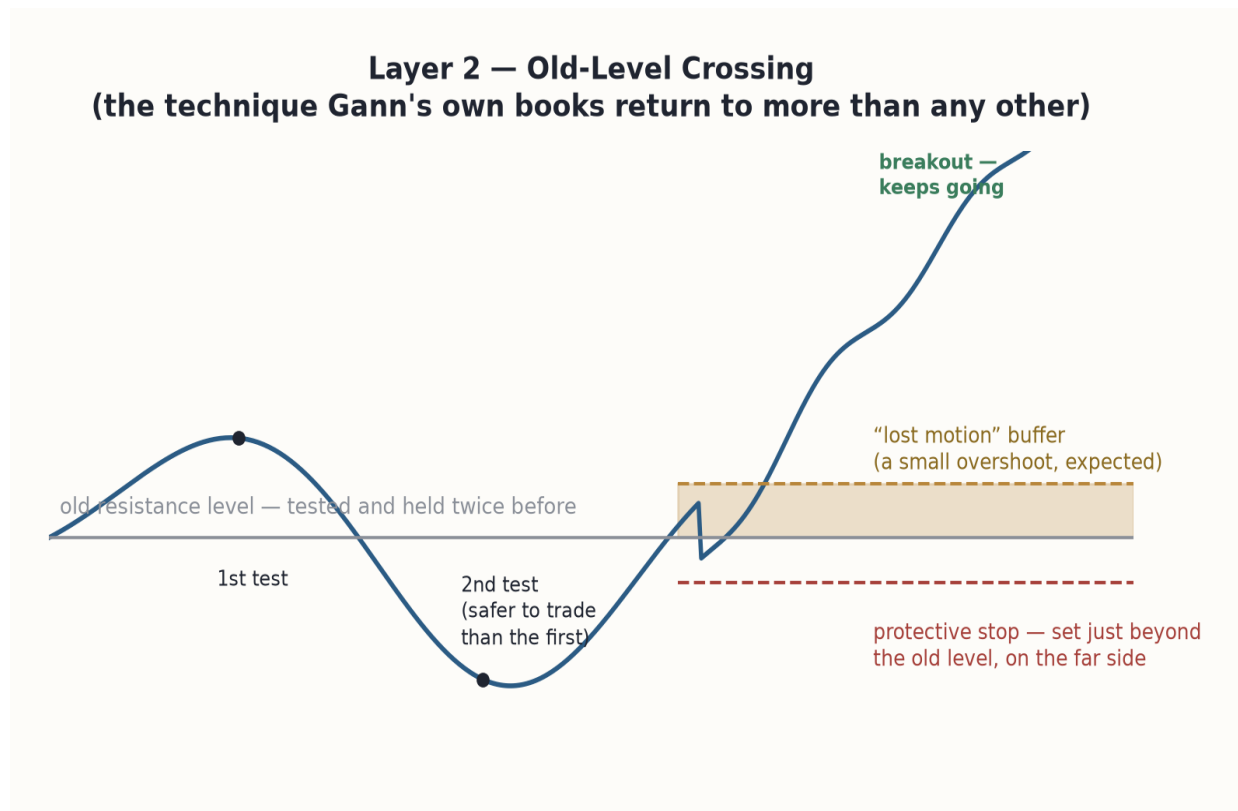
Layer 2 — Structure (price geometry)

Evidence level: **mostly disclosed** — with one very famous exception (see the callout below).

Starting from a real, confirmed swing high or low, Gann used a small set of arithmetic rules to propose specific price levels where the market was more likely to pause, reverse, or accelerate. This is the layer most people associate with “Gann theory,” and it's worth being precise about which parts he actually published, with worked numeric examples, across five of his own books.

Old-level crossing

A price level that has held as support or resistance multiple times, and then finally breaks, tends to keep going — and it is safer to enter on the *second* test of a broken level than the first. Gann's own stated buffer for confirming a break was exact: 3 cents (or 60 points for cotton). He justified this specific number with what he called “lost motion” — his observation that price typically overshoots a real level by a small amount (up to roughly 1-7/8 cents) but rarely by the full 3 cents, so a 3-cent close beyond the level is real confirmation, not noise.



A level tested three times, finally broken and confirmed by a close beyond the “lost motion” buffer.

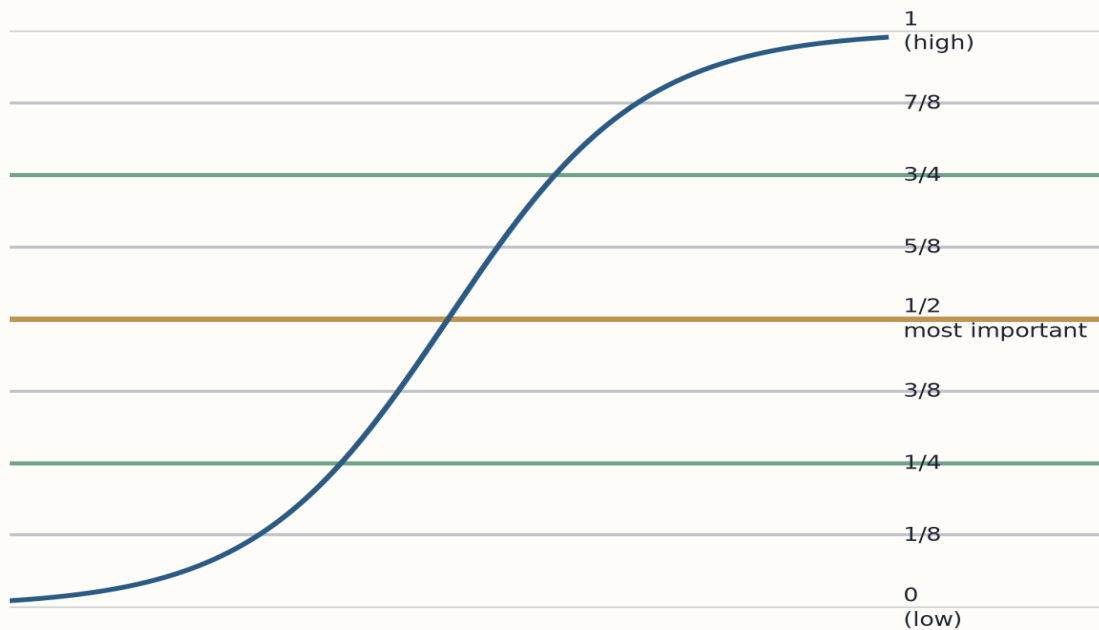
Percentage retracement

Take the size of a move from its low to its high (or high to low), and divide that range into eighths (12.5% steps) and thirds. The halfway point — 50% — is, in Gann's own words, the single most important level of all; 75% comes second. His final book sharpened this into an explicit importance ranking: 50% is most important, then 100%, then 25%, then 12.5%, with the extremes (6.25%) and the

thirds (33.3%/66.7%) weighted lower.

Layer 2 — Percentage Retracement

Divide a swing into eighths; the halfway point matters most



A retracement grid dividing a swing into eighths; the 50% line is the single most important level.

What is not in this list, on purpose: the “Square of 9” spiral (mapping prices onto a square-root-based spiral of numbers) and fixed “Gann angles” (diagonal lines like 1×1 or 2×1 rising a fixed amount of price per fixed amount of time) are both completely absent from every one of Gann's ten published books. They are real techniques — but they come from his private, unpublished course material and were reconstructed decades later by researchers studying his working papers, not from anything he ever sold to the general public in book form. Treat any claim that starts with “Gann's Square of 9 says...” as a later reconstruction, not a quotation.

Layer 3 — Timing

*Evidence level: **partially disclosed shell, withheld engine**. Gann says outright, in his own words, that he is not explaining this part.*

Gann insisted, across his whole career, that price and time are symmetric — a move becomes “square” when the number of trading days that have elapsed matches the size of the price move — and that specific calendar dates, not just price levels, are where trend changes cluster. He says this is real. He also says, explicitly and more than once (including one fully capitalized sentence in his 1927 novel), that he will not explain *why* — what he calls “the cause of cycles.” That refusal appears in books published fifteen years apart, so it was not an early-career shyness he grew out of; it was a permanent, deliberate policy.

What he does give away

- A fixed annual calendar cycle — specific recurring dates each year that he calls “a permanent cycle which does not change.”
- Using a stock or company's own founding-date anniversary as a timing trigger to watch.
- “Anniversary dates” generally — if a stock made a major high or low in a given month, that same month becomes a date to watch in every following year.
- Comparing how long the current rally or decline has lasted against the longest prior rally or decline in the same campaign — when the current move exceeds it, that's a trend-change warning in its own right, independent of price.
- Specific day-count and month-count “time square” bands (roughly 7–12, 18–21, 28–31 days, and so on, up through multi-year bands) — the longer the elapsed time since a high or low falls into one of these bands, the more significant a turn there is treated as.

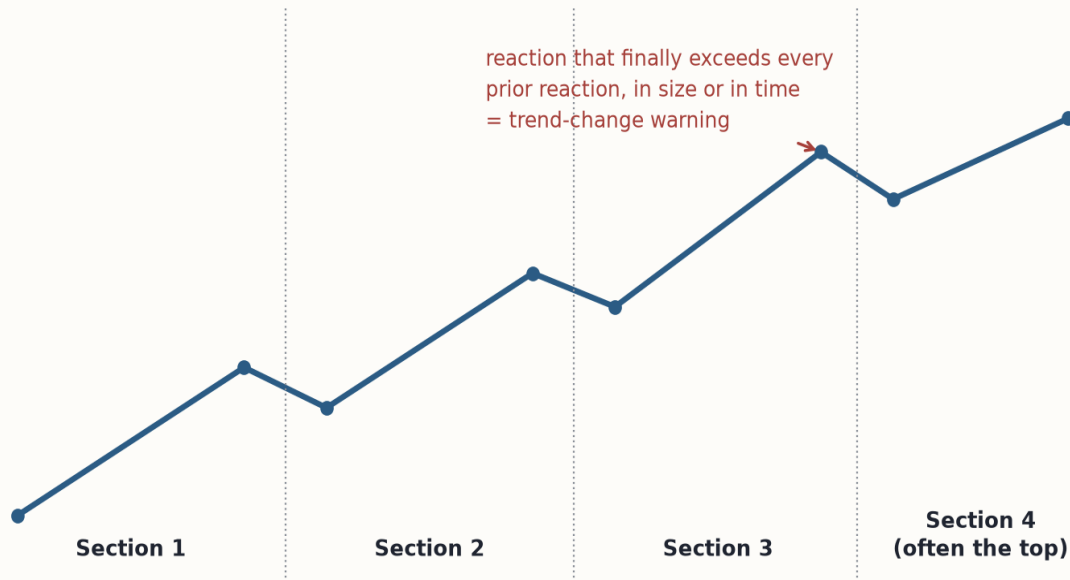
None of this is the withheld mechanism itself — it's the outer shell of a timing system whose actual engine Gann took to his grave. Nearly everything written about “the Gann time factor” since his death, in any book, course, or software — including in this project — is reconstruction, not transcription.

“Sections of a campaign”

One structural rule that bridges price and time: a bull or bear market typically unfolds in 3 to 4 legs (“sections”), and the later legs — the 3rd and 4th — carry more weight as trend-change confirmation than the 2nd does.

Layer 3 — Sections of a Campaign

A bull or bear move typically runs 3-4 legs; later legs carry more weight



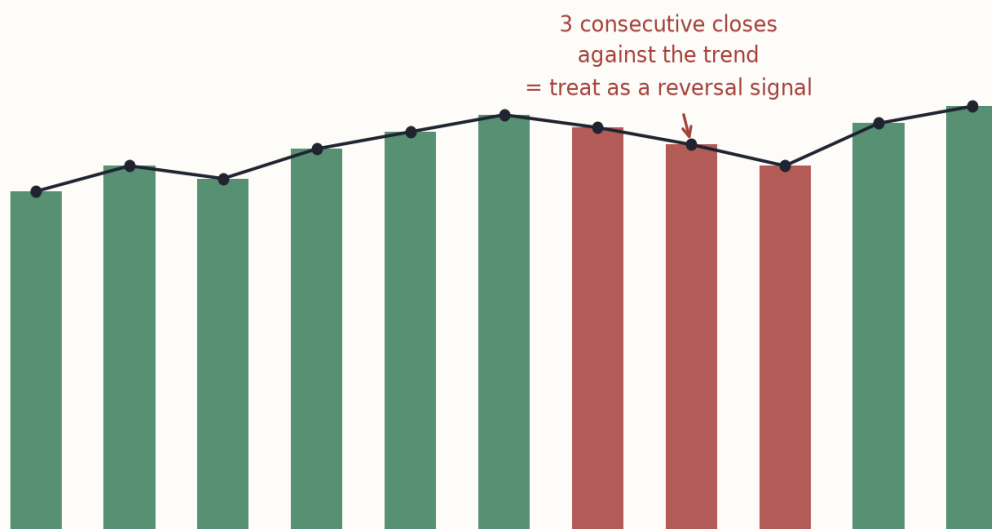
A campaign of four legs; the later legs are weighted more heavily for trend-change confirmation.

The “Rule of Three”

Gann's own highest-conviction claim, worded almost identically to how he wrote it himself: a stock in a confirmed uptrend will not close three consecutive days lower without that being at least a temporary reversal signal — and the mirror rule holds for downtrends. He states, in his own words, that traders paid him significant money just for this one rule.

Layer 3 — The "Rule of Three"

Gann's own highest-conviction claim: "traders paid me \$1,000 for this rule"

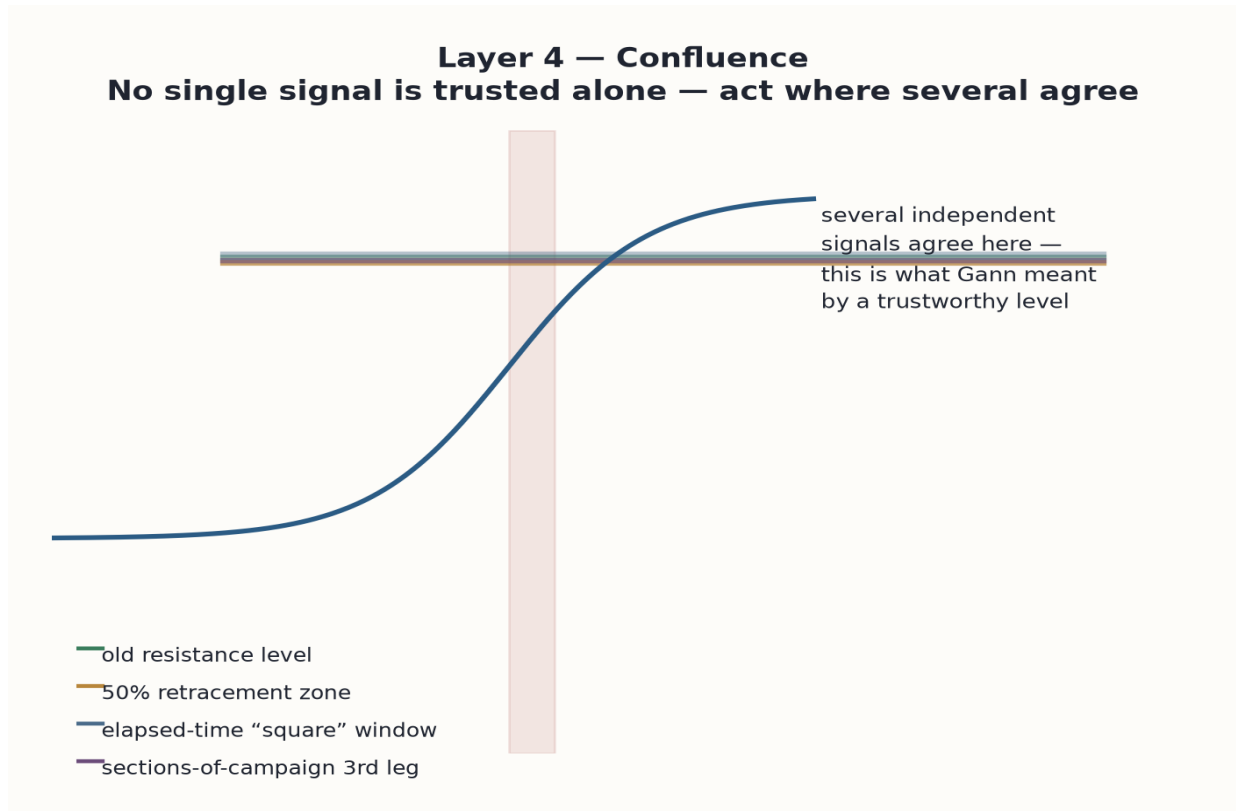


Three consecutive lower closes inside an uptrend — Gann's own highest-conviction signal.

Layer 4 — Confluence

Evidence level: **disclosed as an organizing principle**, not a standalone technique.

No single layer above is meant to be trusted alone. A price sitting at an old resistance level, at the same time as a retracement zone, at the same time as a timing window from Layer 3, is a far stronger signal than any one of those coordinates by itself. This is arguably the single most important organizing idea in the entire method: don't act on one coordinate lining up — act where several independent ones agree at once.



Three independent signals — an old level, a retracement zone, and a timing window — stacking on the same point.

Layer 5 — “Vibration”

*Evidence level: **named but never defined** — the least solid layer, and the one every later source disagrees about.*

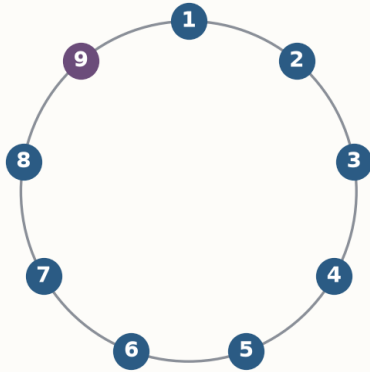
Gann's headline claim, all the way back in his very first public interview in 1909, was that every stock has its own individual “rate of vibration” — language borrowed directly from the physics of his era (wireless telegraphy was brand new and a popular metaphor at the time). He repeats the term across his career. He never once gives a formula for it, in any of his ten books.

That gap has been filled three different ways since his death, and the three attempts do not agree with each other or carry equal weight:

- **Digit-based numerology** (reducing prices or dates to a single digit 1–9 and looking for patterns) — the weakest evidence of the three; much of what looks like a pattern here is simply an artifact of counting in base 10, not a market discovery.
- **Fourier / spectral cycle analysis** (mathematically decomposing a price series into its dominant repeating cycles) — the best-evidenced reconstruction of the three. A real 1926 letter in Gann's own hand names the statisticians Moore, Schuster, and Fourier directly, which is about as close to a smoking gun as this layer gets.
- **Astrology** (planetary-cycle timing) — confirmed as something Gann genuinely used in practice, according to the organization that holds his actual private working papers, but never disclosed in either of the two primary documents this audit is built on, and absent from every one of his ten published books.

Layer 5 — "Vibration": the layer Gann named but never explained in print

A caution, not a technique



digit-sum reduction repeats
every 9 steps — true of ANY
evenly-spaced sequence,
not a market discovery

Three later attempts to fill the gap

Digit numerology

Weakest evidence —
often just base-10 arithmetic

Astrology

Real, but only ever found
in PRIVATE letters, never
in a book he sold

Fourier / cycle analysis

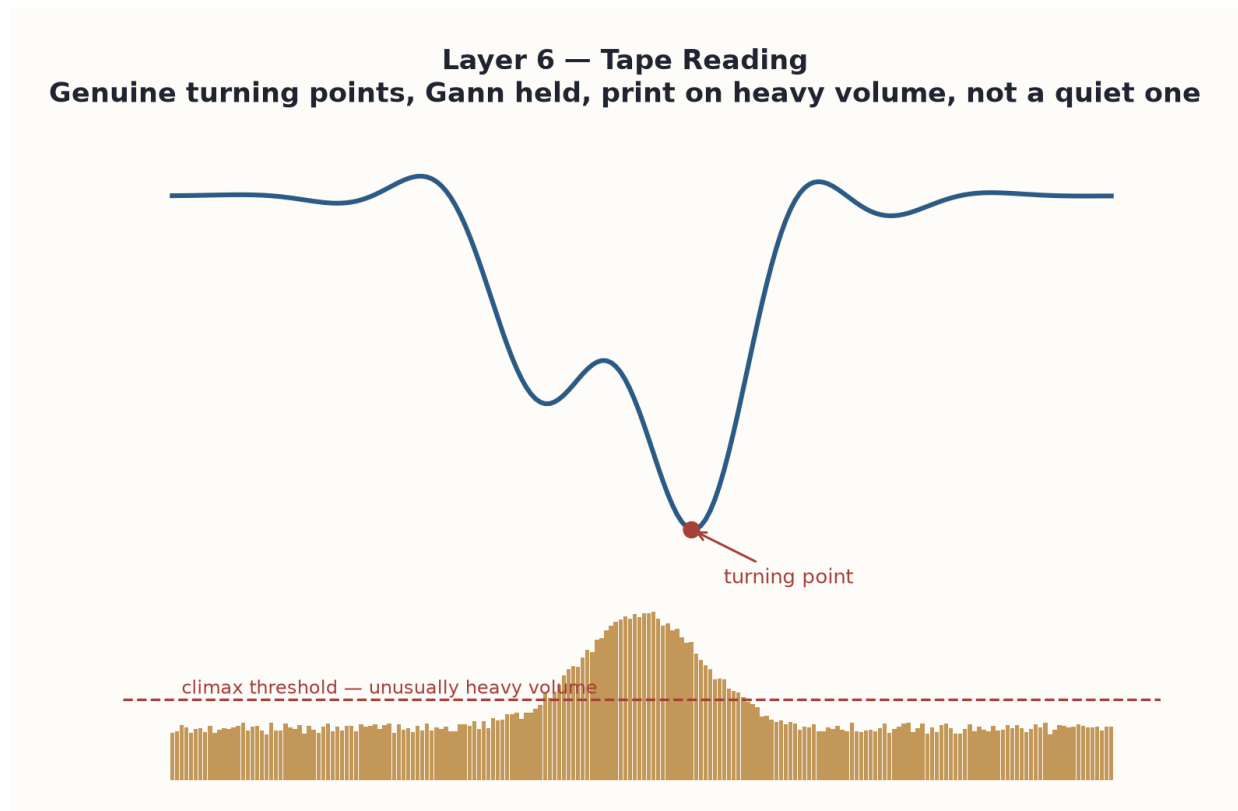
Best-evidenced — Gann named
Moore, Schuster & Fourier
in a real 1926 letter

A caution, followed by the three later, mutually incompatible attempts to fill in what Gann never explained.

Layer 6 — Tape reading

*Evidence level: **fully disclosed** — the foundation his earliest writing is built on.*

Underneath every layer above, Gann's earliest published work is explicit that the tape itself — real order flow, volume, and how a level actually behaves when tested in real time — is the final arbiter. Geometry and timing propose candidate levels and windows; the tape, and specifically a spike in volume at a turning point (what this project calls a “volume climax”), confirms or denies them. A geometric level that the market approaches on shrinking, quiet volume is a much weaker signal than the same level tested on a sudden surge of activity.



Putting it together

What Gann actually published, across all ten of his books

DISCLOSED in his own books

- Risk & money management
- Old-level crossing
- % retracement (eighths)
- Rule of Three
- Sections of a campaign
- 3-Day / 9-Point swing chart
- Fixed annual date cycle
- Anniversary dates
- Volume climax at turns

NAMED, but the mechanism withheld

- The "Time Factor"
- "Harmonic analysis"
- "Law of Vibration"
- "Master Time Cycle"

NEVER in a published book

- Astrology / planetary timing
- (confirmed real, but only
- in private client letters)

What Gann actually published, across all ten of his books, laid out end to end.

The honest summary: Gann sold discipline and a handful of arithmetic price rules, in enormous, repetitive detail, across ten books and forty-five years. He gestured at a much deeper timing theory and a “vibration” behind it all, and was explicit, more than once, that he was not going to explain either one. Everything built since — Square of 9 grids, fixed-angle fans, digit numerology, planetary ephemeris timing, spectral cycle software — is a later attempt, by other people, to reverse-engineer the parts he kept to himself. Some of those attempts are well-evidenced from his private papers; some are speculative pattern-matching with very little behind them. Knowing which is which is the entire point of reading the original ten books rather than only the folklore that grew up around them.

Appendix — the ten books, one paragraph each

1909 — The Ticker and Investment Digest interview. Not a book Gann wrote, but a profile of him by the magazine's editor. Introduces the “Law of Vibration” claim and establishes his credibility with specific, checkable forecasts. Public domain.

1923 — Truth of the Stock Tape. His first full book. Establishes tape reading as the foundation and lays out early versions of the discipline rules. Public domain.

1927 — The Tunnel Thru the Air. A novel, not a manual — but by far his richest source for this audit. Contains his direct use of the term “harmonic analysis,” his explicit refusal to explain “the cause of cycles,” extensive astrological material, and a detailed fictionalized trading campaign with a 10%-of-profits pyramiding rule. Public domain.

1930 — Wall Street Stock Selector. Twenty-four “never-failing” rules, the “Rule of Three,” a “boiling point” breakout rule, and the fixed annual cycle. Entered the public domain January 2026.

1936 — New Stock Trend Detector. Confirms, by its total absence of the terms, that Square of 9 and Gann angles are not part of his disclosed method even this late in his career. Introduces the 3-point rule and 3-day confirmation rule. Still under copyright.

1937/1941 — How to Make Profits Trading in Puts and Calls. Mechanics of the era's over-the-counter options market. No new geometry or timing content. Still under copyright.

1940 — Face Facts America. A wartime forecasting pamphlet applying his method to geopolitical events, not just markets. Still under copyright.

1941/1951 — How to Make Profits Trading in Commodities. His most detailed rulebook: the 28 “valuable” rules, all nine numbered buying and selling points, the full percentage resistance-level method, the “lost motion” stop-buffer concept, and “sections of a campaign.” Still under copyright.

1949 — 45 Years in Wall Street. His capstone book. The definitive “24 Never-Failing Rules” list, the 3-Day and 9-Point Swing Chart methods, a refined and ranked percentage-resistance hierarchy, duration-based “time square” bands, and “anniversary dates” worked year by year from 1929 to 1949. Still under copyright.

1950 — The Magic Word. A religious tract, not a trading book — ties his belief in market law to his Christian faith and to sacred numbers (3, 7, 9, 10, 12, 21). Still under copyright.

1954 — The Basis of My Forecasting Method. A short, late-life promotional booklet naming five forecasting factors: Time, Price, Volume, Speed, and Mass Pressure. Confirms astrology is still absent from his public-facing material at the very end of his life. Still under copyright.